THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 7 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 3

Chapter 12: **Understanding Markets** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Which of these may reduce consumers' trust in online markets? 1

(a) secure payment **(b)** reviews
(c) quick delivery **(d)** fake products and no return policy

2. A government sets a minimum support price above the market price. The effect is 1

(a) no effect **(b)** farmers get higher assured price
(c) consumers gain **(d)** farmers lose

3. Which of these steps will most reduce vegetable price swings? 1

(a) banning sale **(b)** stopping supply
(c) closing markets **(d)** cold storage and better transport

4. Why do small markets sell items of local specialities? 1

(a) local skills and resources **(b)** foreign goods
(c) no demand **(d)** no local items

5. A city has many shops selling the same item. The likely outcome is 1

(a) no sales **(b)** no choice
(c) competition keeps prices low **(d)** prices are very high

6. The expression 'middlemen eat up profits' suggests 1

(a) farmers receive all **(b)** consumers pay less
(c) no middlemen **(d)** farmers receive less than consumers pay

7. A product is sold at a profit of 20 per cent on cost ₹250. The selling price is 1

(a) ₹200 **(b)** ₹320 **(c)** ₹300 **(d)** ₹270

8. A single seller controls the supply of a good. The consumer's problem is 1

(a) more supply **(b)** high price and less choice
(c) low price **(d)** more choice

9. **Assertion (A):** The Hampi bazaar was located opposite the Virupaksha temple. 1
Reason (R): The Portuguese traveller Domingos Paes praised the bazaar.
Choose the correct option:

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

10. **Assertion (A):** Woollen clothes get discounts at the end of winter. 1
Reason (R): Demand for woollen clothes falls when the cold season ends.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. What does a bill of sale prove? 2

12. What is meant by a monopoly? 2

13. Why does transport cost vary? 2

14. Why do some goods need cold chains? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Evaluate the role of MSP in farmers' decisions. 3

16. Evaluate consumer awareness as a market safeguard. 3

17. Discuss the impact of digital payments on markets. 3

OR

Examine the role of government in price control of essential drugs. 3

18. Examine the role of markets in cultural exchange. 3

OR

Examine the role of consumer courts. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. **Case study.** India imports palm oil, mainly from Malaysia, Indonesia and Thailand, to meet the needs of its kitchens. At the same time, Indian companies sell textiles and spices to other countries. Both kinds of trade need ports, transport and storage. 5
(i) What is buying goods from other countries called?
(ii) What is selling goods to other countries called?
(iii) Name one country from which India imports palm oil.
(iv) Why do countries trade with one another?

20. Solve and explain: A retailer buys a gadget for ₹5,000, marks it up by 30 per cent and offers 10 per cent discount. Find the selling price and profit percent. 5

OR

Describe the evolution of markets from barter fairs to digital platforms. 5

END OF QUESTION PAPER — Total: 40 Marks